

Debits: actual cost in

Manufacturing payroll
PayrollSummary: \$3,815,397.14

Factory overhead
journal entries: \$1,308,869.06

Depreciation of manufacturing equipment
journal entries: \$303,666.63

**1090 Manufacturing
Cost Clearing**

Credits: cost out

Finished goods inventory
standard conversion cost of the units
completed: \$3,266,422.54

5080 Manufacturing Variance
conversion variance cleared by work order
closes: \$2,159,138.03

Amounts are the postings of fiscal 2026. The debits exceed the credits by \$2,372.26, the year's net change in the account.

Account 1090 by fiscal year

Postings	2024	2025	2026
Debits: manufacturing payroll	2,848,551.11	3,349,880.59	3,815,397.14
Debits: factory overhead and depreciation	1,621,008.98	1,563,751.50	1,612,535.69
Credits: standard conversion cost of completions	3,358,209.62	3,133,789.00	3,266,422.54
Credits: conversion variance cleared to 5080	1,181,174.56	1,759,121.81	2,159,138.03
Of which the direct labor part	-290,882.15	-167,921.70	-14,074.81
Of which the overhead part	1,472,056.71	1,927,043.51	2,173,212.84

The two parts of the variance come from the work order closes; a negative part is favorable. Highlighted: the overhead part, which grew in each year while the labor part shrank.